



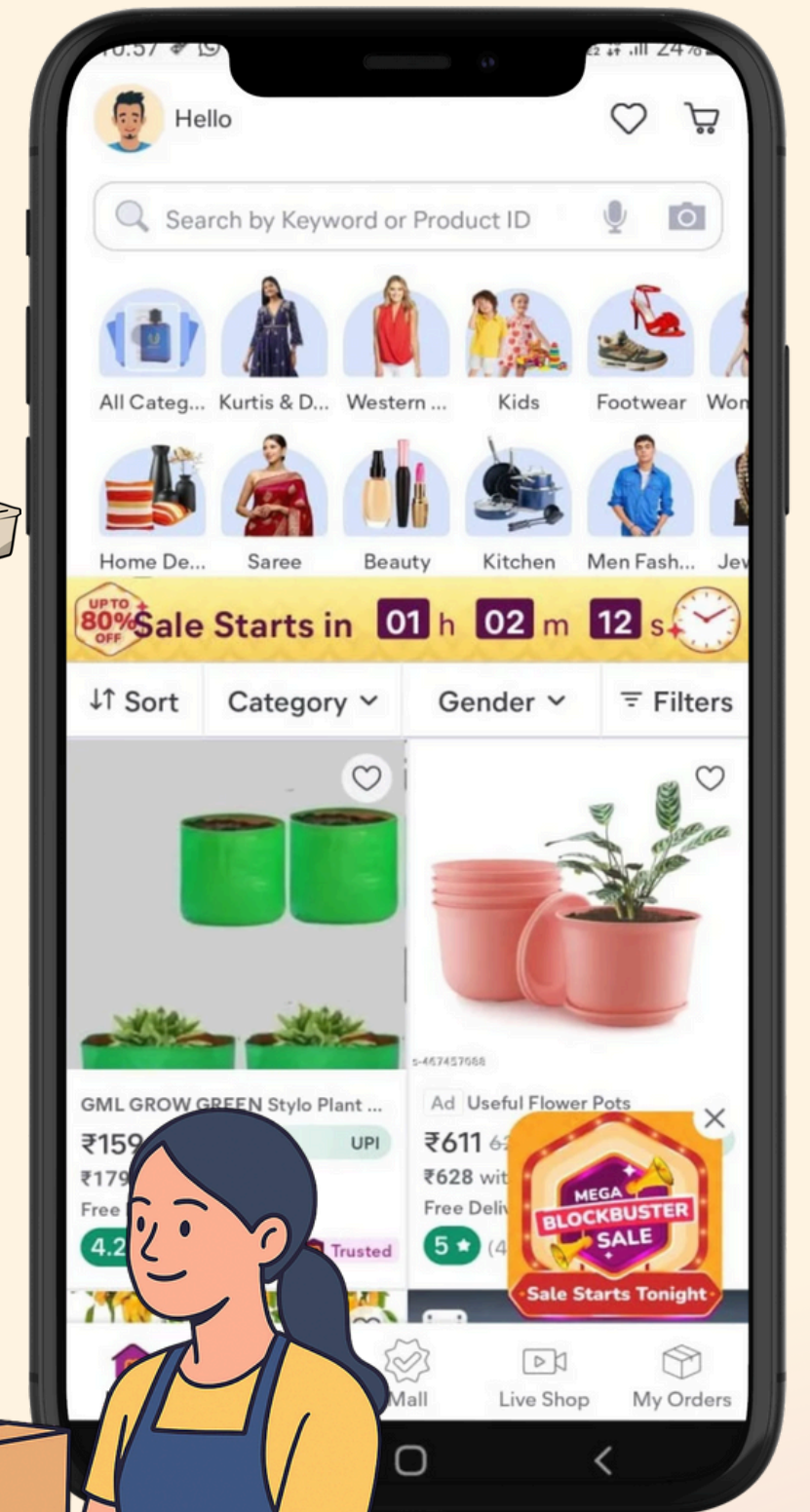
meesho SEASON 2 DICE CHALLENGE

**Expanding into the Non-GST Seller Base
in India**

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Problem Statement Redefined

Objective

Expand Meesho's Non-GST seller base, driving digitization and boosting intra-state online sales for small businesses, artisans, and resellers.

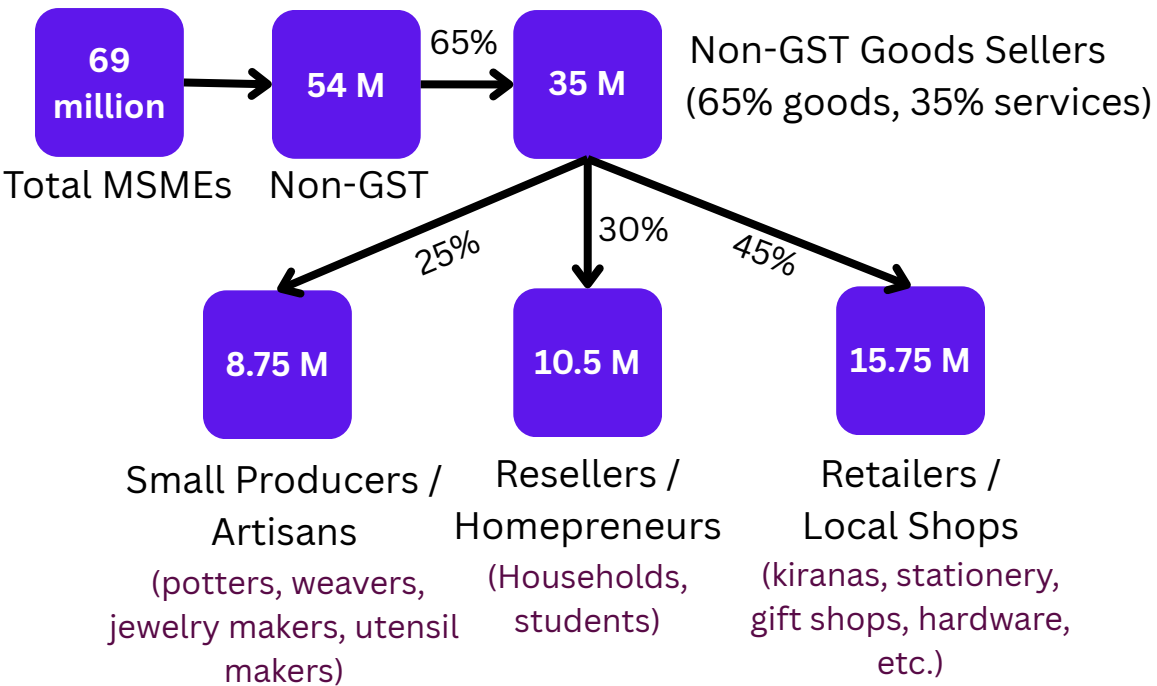
Potential Opportunity

- Unlock 60 million Non GST sellers.
- Tier-2/3 towns driving 60% of new online sellers & buyers.
- Early Meesho pilot: onboarded 25k non-GST sellers in 2 months, added 130k SKUs (80% unique).
- Potential to differentiate vs Amazon/Flipkart.
- Wider catalog → unique regional products

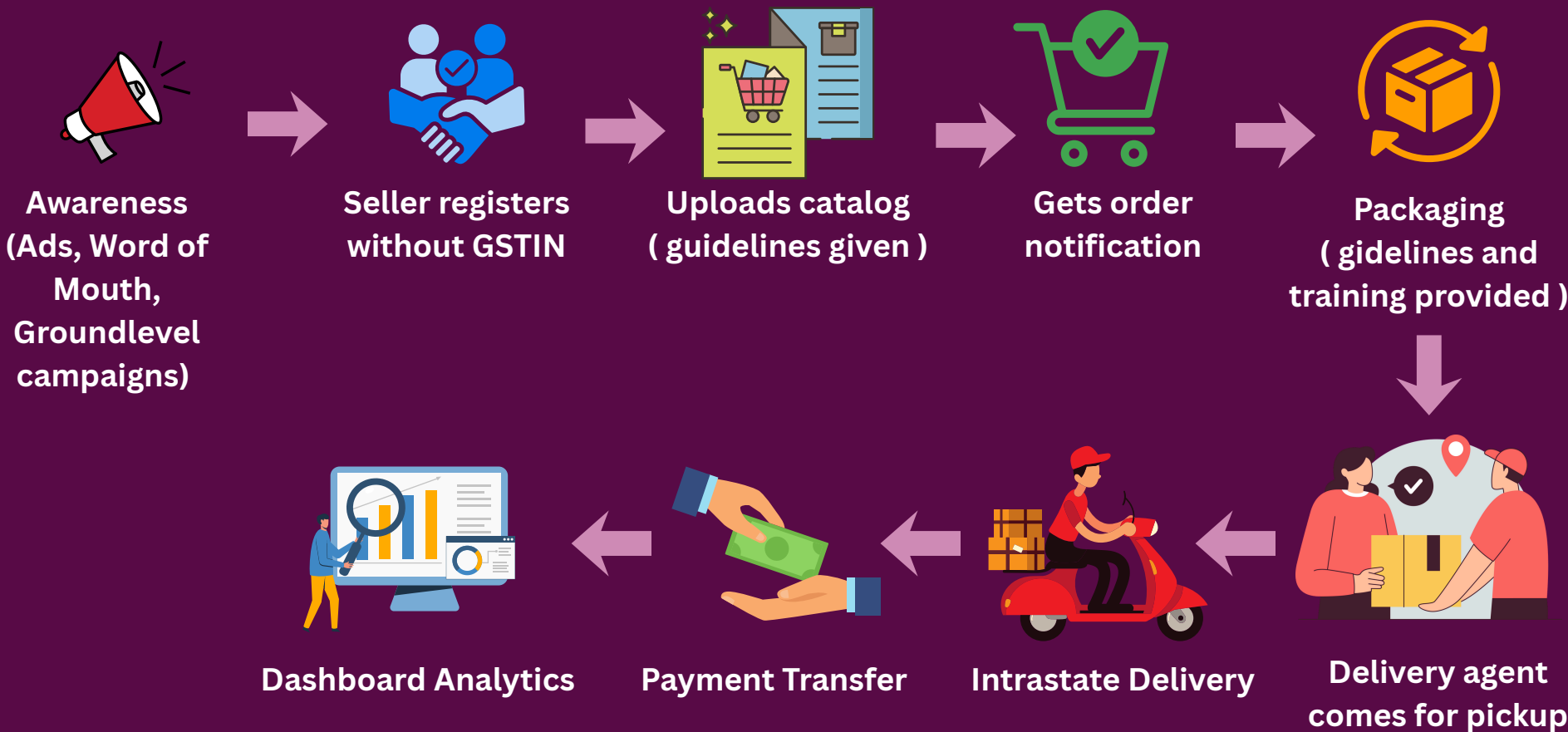
Challenges

- **Regulatory:** Non-GST sellers can only sell intra-state and below turnover limits (risk of tax evasion mindset).
- **Digital Literacy:** Struggle with cataloging, SEO, packaging.
- **Operational Constraints:** Limited manpower, poor fulfillment capacity, fragile/localized goods (pots, bangles).
- **Trust & Credibility:** Fear of delayed payments, lack of brand reputation, preference for offline cash trade.
- **Logistics & Reach:** First-mile pickup and handling of fragile/niche goods; cost of servicing remote areas.

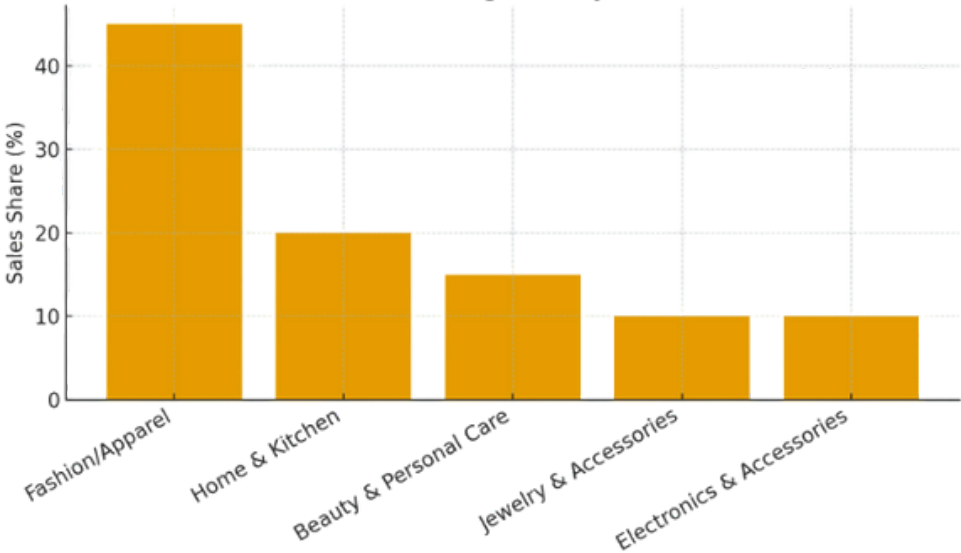
Market Sizing



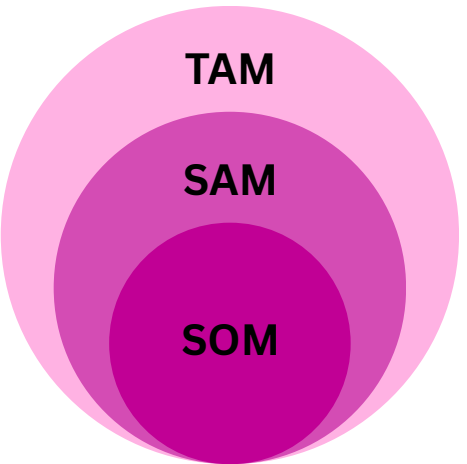
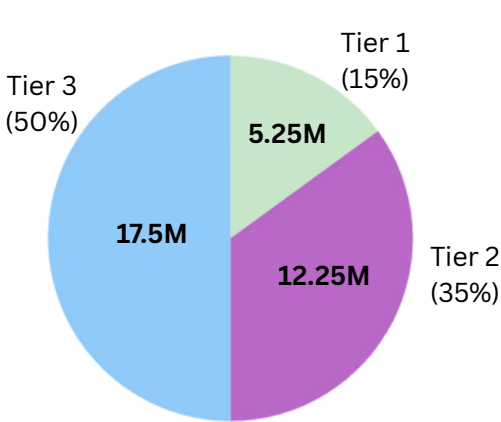
Meesho Non-GST Seller User Flow



Meesho Product Categories by Sales Share (%)



Tier wise Distribution



2.5M × ₹2L GMV = ₹5 lakh crore

- **TAM - 35M** : All good Non-GST Sellers in India
- **SAM - 8.4M** : 40% are digitally ready & logistically reachable (35M × 40% = 14M). Meesho's first-mover advantage lets it access ~60% despite competition. (14M × 60% = 8.4M sellers)
- **SOM - 2.5 to 3M** : Current non-GST base: ~25k sellers onboarded in Meesho's pilot. Realistic growth (3-5 years): scale to 2.5-3M non-GST sellers with 1.5-2× growth per year.

Seller Personas

1. Niche Producer (Artisan / Maker) Profile: Potters, weavers, jewelry makers, bronze utensil artisans, local craft clusters. Goals: Reach beyond local haats/fairs, stable income, preserve craft. Pain Points: - No e-commerce know-how (cataloging, SEO, packaging). - Fragile goods → delivery challenges. - Limited manpower, seasonal demand. Digital Maturity: Low (WhatsApp, phone calls). Opportunity for Meesho: Provide cataloging support, packaging help, niche product marketplace → unlock unique regional SKUs.	2. Generic Shop Owner (Retailer / Kirana) Profile: Local kirana, stationery, general store owners. Goals: Sell surplus, expand product range, earn via referrals. Pain Points: - Limited tech skills. - Fear of delayed payments. - Thin margins → risk-averse. - Discoverability issue due to generic items. Digital Maturity: Moderate (UPI, WhatsApp). Opportunity for Meesho: Trust-building (quick payouts), training, easy catalog upload → largest scalable segment (~16M).	3. Online Reseller (Homepreneur / Social Seller) Profile: Homemakers, students, part-time earners selling on WhatsApp/Facebook. Goals: Side income, flexible work. Pain Points: - Unreliable sourcing. - Lack of logistics support. - Payment collection hassles. Digital Maturity: High (social media savvy). Opportunity for Meesho: Supply chain + payments backbone → convert into loyal Meesho resellers with referral-driven growth.	4. Niche Retailer (Specialty Shop Owner) Profile: Gift shops, jewelry boutiques, ethnic wear stores sourcing from local producers. Goals: Expand customer base beyond walk-ins, source unique products reliably. Pain Points: - Small, irregular demand. - High dependency on local artisans. - Lack of marketing reach. Digital Maturity: Moderate (basic online selling exposure). Opportunity for Meesho: B2B micro-marketplace → connect with artisans (without direct contact exchange), creating an internal wholesale ecosystem.
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Competitive Benchmarking

Platform	Non-GST Share	Target Sellers	Key Initiatives	Seller Support	Monetization Model	Referral Program	Target Categories	Unmet Gaps
Meesho	~40% of new regs (~5-15% overall)	Micro & small sellers, homepreneurs, kirana, artisans	Non-GST onboarding, ground outreach	Catalog help, vernacular onboarding, WhatsApp groups	Commission + ads (low take-rate)	Meesho Star Referral (cash rewards)	Fashion, home & kitchen, jewelry, crafts	Cataloging, fragile goods logistics, GST education
GlowRoad (Amazon-owned)	~25-30%	Home-based resellers, small traders	Zero-commission, social reseller model	WhatsApp onboarding, peer support	Commission + ads	Peer-to-peer referral incentives	Fashion, household goods, cosmetics	Payment reliability, brand trust
Flipkart	<10%	Formal SMEs, GST sellers	Seller loans, Flipkart Samarth	Dedicated support, training programs	Listing + ad fees	Seller referral program	Broad e-commerce	No easy path for non-GST sellers
Amazon	<10%	Larger MSMEs, GST sellers	Amazon Karigar, Saheli	Seller University, training ecosystem	Listing + ad fees	Variable referral bonuses	Broad e-commerce	Language barriers, micro-seller support
eBay India	<5%	Formal SMEs, exports	Basic onboarding	Online-only support	Listing + transaction fees	Buyer-seller referral	Electronics, collectibles	Localization, weak domestic presence
Kraftly	~12%	Handicrafts, niche	Niche onboarding	Social selling	Commission/fees	Artisans referral	Gifts, jewelry	Logistics, reach
Craftsvilla	~15%	Artisans, niche	Offline onboarding	Training workshops	Listing fees	Artisans referral	Handicrafts, gifts	Intrastate only

Models to Expand and Scale Non-GST Seller Base

Model 1 – Community-led Onboarding & Cohorts (SHG-style)

What it is:

Ground agents onboard sellers in groups (kirana stores, artisans, resellers), form small WhatsApp cohorts, train them in cataloging, packaging, and delivery, and drive referrals via Meesho Star.

Execution Flow:

- Identify clusters (kirana zones, artisan hubs).
- Agent-led onboarding (Aadhaar/PAN KYC, app setup).
- Catalog support (photo booths, template-based uploads).
- Cohort formation (10–30 sellers in WhatsApp groups).
- Training (voice/video tutorials, poster guides, micro-tasks).
- Starter packaging kit distribution.
- Referral via Meesho Star Program to drive network effects.
- Fast-trust payouts (weekly/instant for first orders).



Benefits:

- Lowers CAC through word-of-mouth + referrals.
- Builds trust and activation among digitally hesitant sellers.
- Improves product quality and logistics compliance.

Bottlenecks and Solutions:

- Low digital literacy → Agent-assisted onboarding, vernacular video tutorials, auto-fill catalog templates.
- Trust deficit in payouts → Instant payout APIs, Meesho wallet, local success stories as testimonials.
- Fear of GST/UPI compliance → In-app GST alerts, step-by-step GST registration guides, AI chatbot FAQ for rules.
- Cost of ground agents → Optimize with referrals, SHG/NGO partnerships, eventual migration to self-serve video bots.

Critical Thinking & Fit

- Short-term: Model 1 scales seller base fast, lowers CAC.
- Mid-term: Model 2 deepens ecosystem, increases GMV per seller, builds stickiness.
- Risks managed via: GST education, clear referral rules, fraud monitoring, community trust.

Model 1 – Internal B2B Micro-Marketplace

What it is:

Producers (potters, jewelers, weavers) list wholesale SKUs in a “Trade Catalog,” visible only to Meesho retailers/resellers. Buyers purchase through the app; Meesho masks contacts and manages payments & logistics.

Execution Flow:

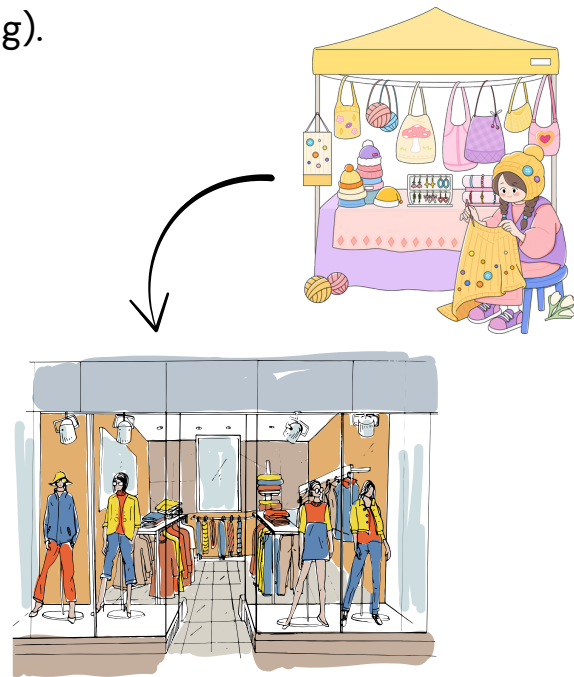
- Producer onboarding with wholesale SKU fields (MOQ, bulk pricing).
- Trade catalog visible only to verified resellers/retailers.
- Order placement with in-app masked messaging.
- Escrow payment system (funds released after delivery).
- Cluster logistics hubs for bulk pickups + last-mile delivery.
- Pre-order windows to handle small producer capacity.
- Quality trust layer (verified badges, sample order option).

Benefits:

- Gives producers new demand channels.
- Retailers gain easier, cheaper sourcing.
- Increases seller GMV and platform stickiness.

Bottlenecks and Solutions:

- Bypassing Meesho (direct deals) → Masked identities, TOS enforcement, in-app escrow payments.
- Wholesale logistics inefficiency → Cluster-based pickups, route optimization engine, bulk courier partnerships.
- Producer capacity constraints → Pre-order system, AI-based demand forecasting, alerts for overcapacity.
- Quality consistency → “Meesho Verified” badge, sample orders before bulk, review & rating system.



KPIs for Success

Model 1 → Seller acquisition, 30-day activation %, 90-day retention %, CAC payback.
Model 2 → Wholesale GMV, repeat orders %, logistics cost/time, dispute rate.